

EXPANSION SITE PRIORITIZATION

Sales & Profitability Review to Inform New Subsidiary Location — FY2011–2014

To: Sales & Leadership Team

From: Mubarakatu A — Data Analyst (Portfolio Project)

Re: Where to prioritize the new subsidiary, and what to fix before scaling

Situation

Leadership is evaluating a rebrand and a new subsidiary and asked for a historical read on where the business is strong, where it is weak, and which markets merit priority for the expansion. The analysis below covers 9,994 order lines (2011–2014) across customer segment, product category, and U.S. geography.

Headline Numbers (FY2014, vs. FY2013)

Revenue	Profit	Orders	Units Sold	Avg. Discount	Profit Margin
\$733,947	\$93,508	1,692	12,503	16.0%	12.7%
+20.6% YoY	+14.4% YoY	+29.2% YoY	+27.5% YoY	+1.0 pt YoY	-0.7 pt YoY

What the Data Shows

- Growth is outrunning profit. Revenue grew 20.6% year over year, but profit grew only 14.4%, and margin slipped from 13.4% to 12.7% as the average discount ticked up from 15% to 16%. Top-line growth alone does not confirm a sustainable growth path.
- Furniture is a profitability trap. It drives 32.3% of all revenue but returns just a 2.5% margin (vs. 17.4% for Technology and 17.0% for Office Supplies). Tables and Bookcases, carrying 21–26% average discounts, are net loss-making sub-categories company-wide.
- Discounting is the mechanism, not demand. Discount and profit margin are strongly negatively correlated ($r = -0.86$). Average margin turns negative once a line item's discount exceeds ~20%, and falls sharply beyond 30%.
- Revenue size is misleading without profitability. California and New York are both high-revenue and high-margin (16.7% and 23.8% respectively), the strongest expansion signal in the data. Texas, Ohio, Pennsylvania, and Illinois generate comparable or greater revenue but are net loss-making, driven by 32–39% average discounts; they look attractive on revenue alone but are not, today, profitable markets.
- Segment mix will not differentiate a location. Consumer/Corporate/Home Office split is nearly identical (~50% / 31% / 19%) in every region, so customer-segment mix is not a useful screen for where to expand; regional and state-level profitability is.

Recommendation

- Prioritize the new subsidiary in markets with the California/New York/West–East profile, which have proven revenue *and* margin strength, over markets chosen on revenue size alone.
- Hold off on Texas-, Ohio-, Pennsylvania-, and Illinois-type markets until discount practices are corrected there; under current terms they would import a loss-making cost structure into the new subsidiary.
- Cap discounting on Tables and Bookcases (and revisit Furniture pricing broadly) before replicating the current product mix in a new location; the discount-margin relationship suggests a ceiling near 15–20% would return most of this category to profitability.

Data source: Sample – Superstore dataset (originally distributed with Tableau; publicly available via Kaggle and the Tableau Community). Used here as a synthetic dataset for independent portfolio analysis; all figures above are calculated directly from the raw order-level data, not reused from any third-party tutorial.